CG CreditGuide AI

Empowering **MSMEs** for **Bank-Ready Credit** Assessments

Business Model

Business Model Insight

Financial Assessment

Financial Assessment & Projection

Bank Query & Documents

AI-Powered Guidance

1. **Problem Statement: The Structured Credit Gap**

India's 63+ million MSMEs contribute nearly 30% to the GDP, yet they face a persistent "credit readiness" gap. Loan proposals are frequently delayed or rejected not due to a lack of inherent business viability, but due to a breakdown in structured communication. Key issues include:

· For MSMEs: Weak business model articulation, poor financial presentation, improper working capital assessment, unrealistic projections, and incomplete documentation. Promoters lack insight into how bankers think.

· For Bankers (especially junior officers): A lack of structured, industry-specific guidance to assess risk, benchmark financials, and validate assumptions, leading to risk aversion and delays.

· The Core Gap: A fundamental disconnect between the ground-level reality of an MSME and the formal, structured assessment framework of a bank.

2. **Our Solution – CreditGuide AI**

CreditGuide AI is an AI-powered, industry-aware credit readiness platform that acts as a "co-pilot" for MSMEs and their consultants. It bridges the communication and assessment gap by simulating banking expertise. The platform:

· Decodes the business model and assesses industry-specific risk.

· Analyzes financial health and working capital cycles using standard banking methodologies.

· Generates structured credit insights and benchmarks against industry peers.

· Predicts likely bank queries and suggests data-backed justification points.

· Provides a tailored documentation checklist and guidance on subsidy eligibility.

Crucially, CreditGuide AI does not approve or reject loans. It prepares MSMEs to become truly bank-ready.

3. How It Works (Prototype Flow)

· **Phase 1 – Requirement Identification**

User selects facility type (Working Capital / Term Loan), range, and provides basic business details: Category (Manufacturing/Trading/Services), Specific Industry (e.g., "Auto Components - Manufacturing"), and Years of Operation.

· **Phase 2 – Industry-Aware Business Model Assessment**

Platform evaluates the business model against industry-specific parameters, including:

· Industry risk profile and cyclicality.

· Operational history and structural strength.

· Margin sustainability relative to industry benchmarks.

· Output: A "Signal" (Emerging / Stable / Strong), structured commentary, and clear identification of areas requiring justification.

· Phase 3 – Financial Assessment & Working Capital Analysis (Banker's Logic)

User inputs key financial data (Turnover, Profit, Stock, Debtors, Creditors, etc.).

The system performs a deep-dive analysis using standard banking logic:

· Calculates key ratios (e.g., Net Profit Margin) and benchmarks them against industry averages.

· Calculates the Operating Cycle (Inventory Days + Debtor Days - Creditor Days).

· Assesses "Maximum Permissible Bank Finance" (MPBF) as per Tandon Committee norms (Method I/II), moving beyond a simple 20% rule.

· Computes the resulting Working Capital Gap and required capital infusion.

· Projects the impact on liquidity (e.g., Projected Current Ratio).

· Performs basic sensitivity analysis (e.g., impact of a 10% sales drop or 15-day receivable delay).

· Phase 4 – Interactive Final Assessment Report

The platform generates a comprehensive, downloadable PDF report including:

· ✓ Business Strength Summary with industry context.

· ✓ Financial Position Analysis (Past vs. Projected) with benchmark comparisons.

· ✓ Overall Status: "Bankable" or "Needs Improvement."

· ✓ Likely Bank Queries: A list of predicted questions with AI-suggested justification points (e.g., Query: "Debtor days (65) are above the industry average (45)." Suggested Justification: "Due to a strategic shift towards larger corporate clients with 60-day payment cycles, formalized in new contracts.")

· ✓ Documentation Checklist: A tailored list of required documents.

· ✓ Subsidy & Scheme Eligibility: Suggestions based on industry and location (e.g., PLI scheme, state subsidies).

· ✓ Optional Add-on: Assistance in generating a detailed project report and CMA data.

4. **Key Innovation & Differentiators**

· Industry-Aware Reasoning: Not a generic scoring engine. It understands that a garment trader and a machine tool manufacturer have vastly different risk profiles and financial benchmarks.

· Explainable AI (Transparent Logic): The platform shows its work, explaining why a particular factor is a strength or a risk, building trust with the user.

· Banker-Thinking Simulation: It applies the same logic (MPBF, operating cycle, sensitivity) that a bank officer would, bridging the knowledge gap.

· Structured Query Prediction: This feature transforms a static report into a dynamic preparation tool, coaching users on how to defend their proposal.

5. **Target Users**

· MSME Promoters: Across Manufacturing, Trading, and Services.

· First-time Borrowers & Businesses Seeking Limit Enhancements.

· Financial Consultants & Chartered Accountants: To scale their practice and serve clients more efficiently.

· Junior Credit Officers (B2B Co-pilot Version): As a decision support tool to standardize assessments.

6. **Business Model & Sustainability**

· MSME Freemium Model: Basic credit score and checklist (Free). Detailed report with query prediction, financial benchmarking, and CMA data (One-time fee / Subscription).

· B2B SaaS for Banks & Consultants: Enterprise subscription for a "Credit Co-pilot" dashboard, enabling standardized assessment, portfolio monitoring, and training tools. This is the primary revenue anchor.

· Data Moat: Aggregated, anonymized data on MSME financials and banker queries will be used to continuously refine AI models, creating a defensible competitive advantage.

7. **Expected Impact**

· For MSMEs: Reduce loan preparation time by 40%, improve proposal clarity by 60%, and significantly boost first-level sanction confidence.

· For the Ecosystem: Increase financial literacy among MSMEs and actively support the government's vision of expanding institutional credit to this vital sector.

8. **Future Scope**

· Integration with Account Aggregator (AA) Framework: For seamless, consent-based data fetching.

· Expansion of Industry Modules: Covering 50+ specific sub-sectors with deep-dive logic.

· Regional Language Interface: To reach the vast majority of non-English speaking MSMEs.

· Bank-Side Credit Co-pilot: A full-featured dashboard for loan officers.

· Automated CMA Generation: Fully automated and bank-format-ready reports.

· Subsidy & Incentive Mapping Engine: Real-time eligibility checks for central and state schemes.

9. **Why This Matters**

The core challenge in MSME financing is not a lack of capital, but a lack of structured credit readiness. CreditGuide AI bridges this gap by fusing real-world banking expertise with AI-assisted reasoning, tailored for the Indian context.

Our mission is to democratize access to credit by making the process:

Transparent, Prepared, Structured, and Ultimately, Bank-Ready.